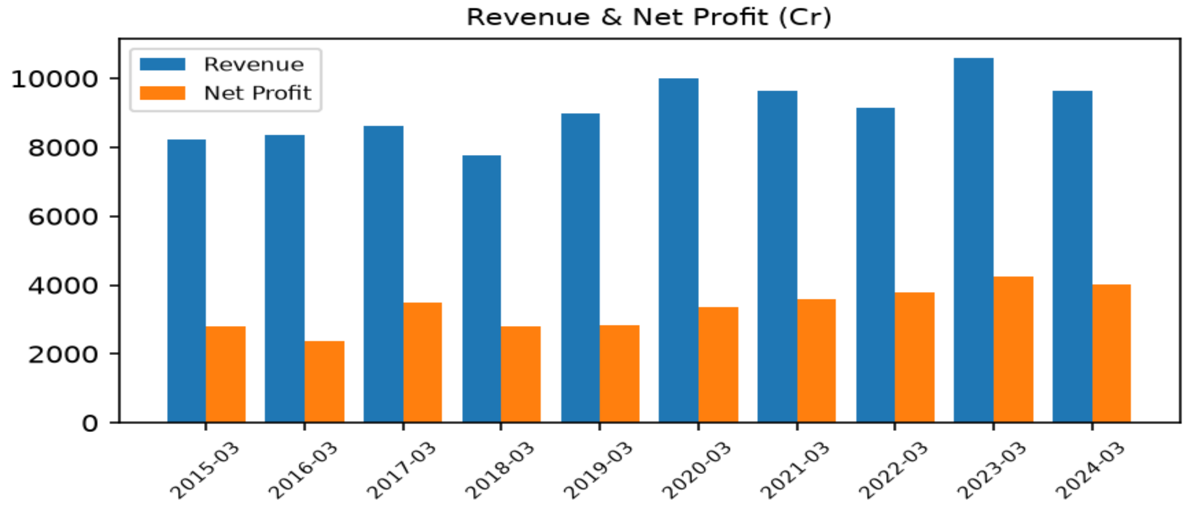
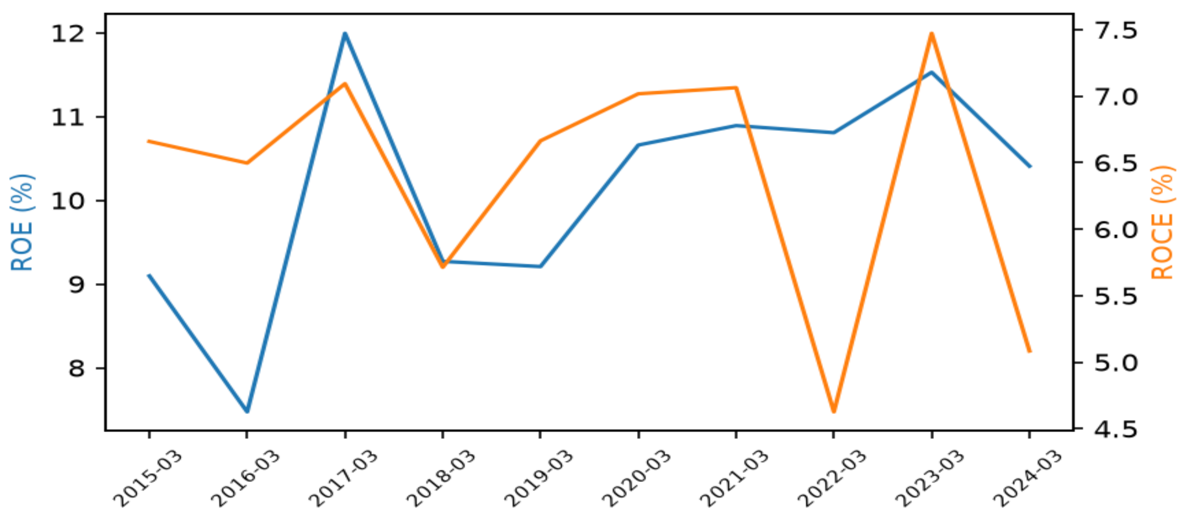
NHPC Ltd (NHPC)

ROE 10.4%	**ROCE** 5.1%	**Net Profit Margin** 41.8%
D/E 0.8	**Revenue CAGR 5yr** 1.4%	**Free Cash Flow (Cr)** 970.0

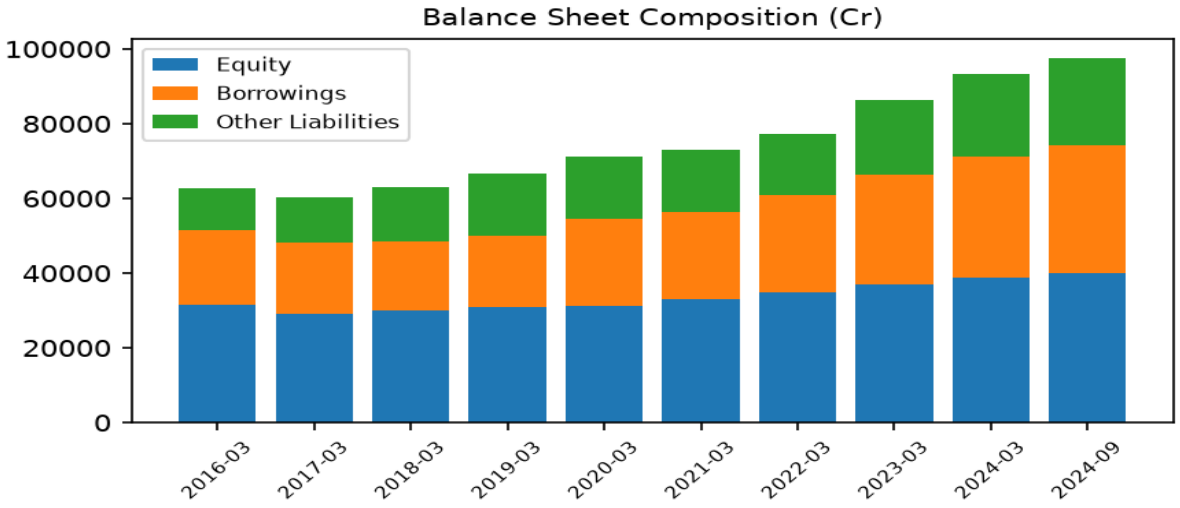
Revenue & Net Profit (10yr)



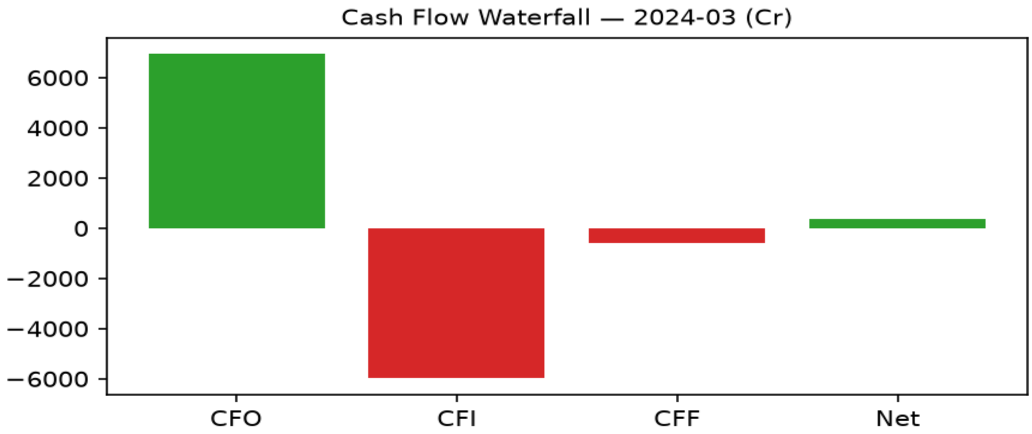
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns